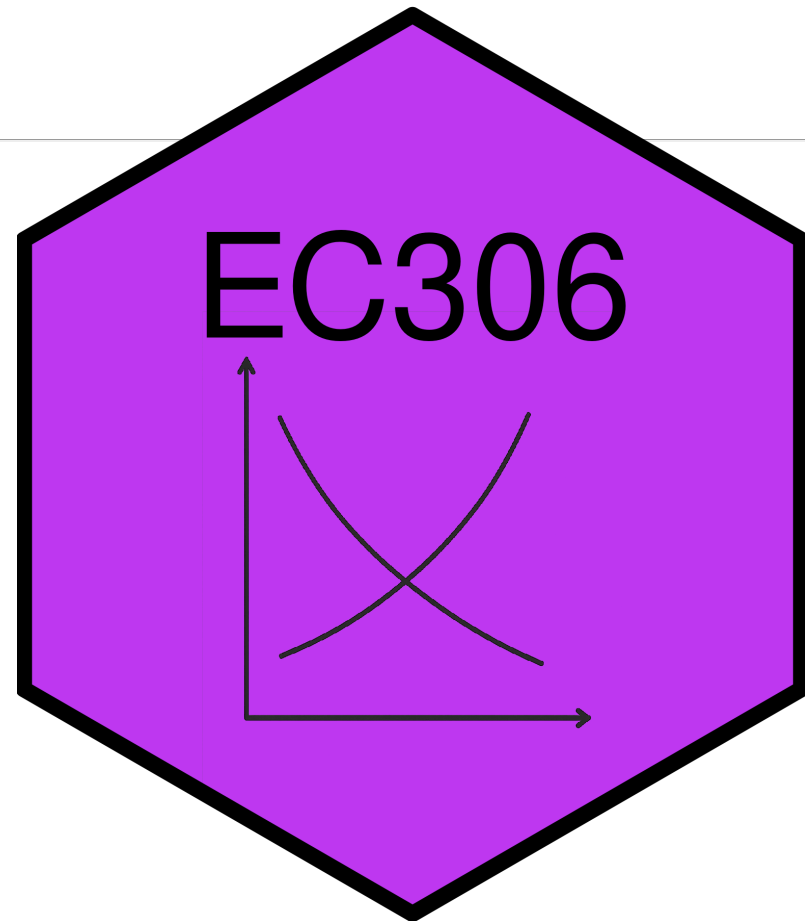


# Chapter 6: Labour Supply and Early Career Decisions — In-Class Questions

EC306- Wages and Employment  
Justin Smith  
Wilfrid Laurier University  
Fall 2026



# BFGLSS Chapter 6 Problem 1

The evaluation of the labour supply response to a tax cut can be quite different in a dynamic setting from what it is in a static setting. Discuss the relative impact of a permanent versus transitory tax cut on labour supply, and compare the analysis to the static model.

# BFGLSS Chapter 6 Problem 2

Consider the two-period dynamic labour supply model discussed in this chapter. What, if anything, happens to current labour supply if the interest rate rises from 2 percent to 10 percent?

# BFGLSS Chapter 6 Problem 4

Use your knowledge of household production theory to indicate the following

a) The expected effect of a wage increase on the wife's labour supply

# BFGLSS Chapter 6 Problem 4

b) The expected effect on the demand for children of an increase in the wage of a wife

# BFGLSS Chapter 6 Problem 4

c) Why the substitution effect for labour supply may be larger for women than men

# BFGLSS Chapter 6 Problem 4

d) The effect on one spouse's labour supply of his or her spouse's disability where the spouse requires home care

# BFGLSS Chapter 6 Problem 4

e) The effect on this same spouse's labour supply if the government provided financial compensation to the family

# MC1

Which of the following statements concerning subsidies for child care expenses is true?

- a) They change the slope of the budget line.
- b) They reduce the fixed costs of working.
- c) They discourage labour force participation.
- d) They tend to increase the reservation wage of working.
- e) They cause a strong substitution effect toward more working activity.